

2.4 Making financial decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank for this topic

Each question is fully self-contained: case-study extract + data tables + question text + mark scheme answer. Print and revise without needing the original papers.

- **Total questions:** 25
- **Total marks:** 46
- **Sub-topics covered:** 2

By series:

- **Specimen SAMs:** 2 questions
- **June 2019:** 4 questions
- **Nov 2020:** 3 questions
- **Nov 2021:** 5 questions
- **June 2022:** 4 questions
- **June 2023:** 3 questions
- **June 2024:** 4 questions

2.4.1 Business calculations (18 questions)

Specimen SAMs · Paper 2 · Q2(c) · 5A

Calculate

2 marks

DATA FOR QUESTION 2

Table 1 contains information about a business. Sales revenue: £300 000. Cost of sales: £210 000. Gross profit: £90 000.

Using the information in Table 1 calculate the gross profit margin. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£90\,000/£300\,000) \times 100$ (1). Answer: 30% (1). Award full marks for correct numerical answer without working. Do not award a mark for 30 if the correct unit (%) is not stated.

DATA FOR QUESTION 3

Figure 1 shows sales volumes for a business during the first three months of 2016: January 3000, February 5000, March 4000. The selling price of the product is £500.

Using the information in Figure 1, calculate the sales revenue of the business for the first three months of 2016. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $£500 \times (3000 + 5000 + 4000)$ (1). Answer: £6 000 000 (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business over three years. 2015: £750 000; 2016: £1 500 000; 2017: £825 000.

Using the information in Figure 1, calculate the percentage increase in sales revenue from 2015 to 2016. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $((£1\,500\,000 - £750\,000) / £750\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 5

Mind Candy case study. Table 2 contains information about Mind Candy's performance in 2013. Sales revenue: £30 560 692; Gross profit: £22 190 385; Other operating expenses and interest: £25 044 332.

Using the information in Table 2, calculate Mind Candy's cost of sales. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $£30\,560\,692 - £22\,190\,385$ (1). Answer: $£8\,370\,307$ (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains financial information about the performance of a business. Sales revenue £625,000; Cost of sales £145,000; Other operating expenses and interest £200,000.

Using the information in Table 1, calculate the gross profit made by the business. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $£625,000 - £145,000$ (1). Answer: $£480,000$ (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 3

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products. Product X: £700,000; Product Y: £150,000; Product Z: £350,000.

Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£700,000 \div (£700,000 + £150,000 + £350,000)) \times 100$ (1). Answer: 58.33% (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains financial information about a business. Sales revenue: £800 000, Cost of sales: £225 000, Gross profit: £575 000, Other operating expenses and interest: £200 000.

Using the information in Table 1, calculate the net profit of the business.

MARK SCHEME ANSWER

Substitution into correct formula: $£575\ 000 - £200\ 000$ (1). Answer: £375 000 (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a \$976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)

DATA FOR QUESTION 5

Table 2 contains information about the price of a Tesla Model 3 car between 2017 and 2019. 2017: \$50 000, 2018: \$41 000, 2019: \$35 000.

Using the information in Table 2, calculate, the percentage reduction in the price of a Tesla Model 3 car between 2017 and 2019.

MARK SCHEME ANSWER

Substitution into correct formula: $((\$50\,000 - \$35\,000) / \$50\,000) \times 100$ (1). Answer: 30% or -30% (1).
Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a \$976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)

DATA FOR QUESTION 5

Table 2 contains information about the price of a Tesla Model 3 car between 2017 and 2019. 2017: \$50 000, 2018: \$41 000, 2019: \$35 000.

Using the information in Table 2, calculate the average price of a Tesla Model 3 car over the three year period between 2017 and 2019.

MARK SCHEME ANSWER

Substitution into correct formula: $(\$50\,000 + \$41\,000 + \$35\,000) / 3$ (1). Answer: \$42 000 (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £200,000; Cost of new machine: £200,000.

Using the information in Table 1, calculate the average rate of return.

MARK SCHEME ANSWER

Substitution into correct formula: $(£200\,000 \div £200\,000) \times 100$ (1). Answer: 100% (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 3

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020. Barnsley £10,000; Doncaster £70,000; Rotherham £30,000; Sheffield £90,000.

Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£10\,000 + £70\,000 + £30\,000 + £90\,000) \div 4$ (1). Answer: £50 000 (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from <https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth> and <https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/>)

DATA FOR QUESTION 5

Table 2 contains information about Greggs' financial performance in 2018. Sales revenue: £1,029,347,000; Cost of sales: £373,487,000; Other operating expenses and interest: £573,292,000; Net profit: £82,568,000.

Using the information in Table 2, calculate Greggs' gross profit.

MARK SCHEME ANSWER

Substitution into correct formula: $£1\,029\,347\,000 - £373\,487\,000$ (1). Answer: £655 860 000 (1). Accept any answers and workings that do not include 000. Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from <https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth> and <https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/>)

DATA FOR QUESTION 5

Table 2 contains information about Greggs' financial performance in 2018. Sales revenue: £1,029,347,000; Cost of sales: £373,487,000; Other operating expenses and interest: £573,292,000; Net profit: £82,568,000.

Using the information in Table 2, calculate to 2 decimal places, Greggs' net profit margin.

MARK SCHEME ANSWER

Substitution into correct formula: $(£82\,568\,000 \div £1\,029\,347\,000) \times 100$ (1). Answer: 8.02% (1). Award full marks for correct numerical answer without working.

DATA FOR QUESTION 2

Table 1 contains financial information about a business. Sales revenue: £900 000; Cost of sales: £325 000; Other operating expenses and interest: £175 000; Net profit: £400 000.

Using the information in Table 1, calculate to 2 decimal places, the net profit margin.

MARK SCHEME ANSWER

Substitution into correct formula: $(£400\,000 \div £900\,000) \times 100$ (1). Answer: 44.44% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 5

Table 2 contains information about the price of an annual supermarket delivery pass in 2020. Asda: £55; Morrisons: £65; Ocado: £110; Sainsbury's: £60.

Using the information in Table 2, calculate the average price of an annual supermarket delivery pass.

MARK SCHEME ANSWER

Substitution into correct formula: $(£55 + £65 + £110 + £60) \div 4$ (1). Answer: £72.50 (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Extract A: Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service. In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020. In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

DATA FOR QUESTION 5

Table 2 contains information about the price of an annual supermarket delivery pass in 2020. Asda: £55; Morrisons: £65; Ocado: £110; Sainsbury's: £60.

ADDITIONAL INFORMATION

Table 3 contains information about Ocado's financial performance in 2019. Cost of sales: £1 164.8 million; Gross profit: £591.8 million; Other operating expenses and interest: £916.9 million; Net profit: (£325.1 million).

Using the information in Table 3, calculate Ocado's sales revenue in 2019. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $\text{£1 164.8m} + \text{£591.8m}$ (1). Answer: £1 756.6 million (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, Popeyes has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, Popeyes had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become Popeyes' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside. However, Popeyes is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

DATA FOR QUESTION 5

Table 2 shows the price of items in an order placed by a customer at Popeyes. Chicken sandwich: £6.50; Chicken wings: £6.25; Original biscuit: £1.00; Mac and cheese: £3.50; Coca-Cola classic: £2.75.

Using the information in Table 2, calculate the average price of the items ordered by the customer.

MARK SCHEME ANSWER

Substitution into correct formula: $(£6.50 + £6.25 + £1.00 + £3.50 + £2.75) \div 5$ (1). Answer: £4 (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

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DATA FOR QUESTION 5

Table 2 shows the price of items in an order placed by a customer at Popeyes. Chicken sandwich: £6.50; Chicken wings: £6.25; Original biscuit: £1.00; Mac and cheese: £3.50; Coca-Cola classic: £2.75.

Using the information in Table 2, calculate, to 2 decimal places, the percentage of the total order spent on Chicken wings.

MARK SCHEME ANSWER

Substitution into correct formula: $\text{£}6.25 \div (\text{£}6.50 + \text{£}6.25 + \text{£}1.00 + \text{£}3.50 + \text{£}2.75) \times 100$ (1). Answer: 31.25% (1). Award full marks for correct numerical answer without working.

2.4.2 Understanding business performance (7 questions)**DATA FOR QUESTION 2**

Table 1 contains information about a new piece of machinery that a business wants to purchase. Average annual profit: £100 000; Cost of new machine: £400 000.

Using the information in Table 1, calculate the average rate of return. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(\text{£}100\,000 / \text{£}400\,000) \times 100$ (1). Answer: 25% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was Moshi Monsters. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012. In 2013, Mind Candy made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of Moshi Monsters and increased competition in its market. As a result of these losses, Mind Candy reduced its workforce of software developers. Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as Petlandia. Mind Candy believes Petlandia will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

DATA FOR QUESTION 5

Mind Candy case study. Table 2 contains information about Mind Candy's performance in 2013. Sales revenue: £30 560 692; Gross profit: £22 190 385; Other operating expenses and interest: £25 044 332.

ADDITIONAL INFORMATION

Mind Candy case study (Table 2 financial info).

Using the information in Table 2, calculate, to 2 decimal places, Mind Candy's gross profit margin. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $(£22\,190\,385 / £30\,560\,692) \times 100$ (1). Answer: 72.61% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, Iceland enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million. Iceland believes this success has been due to improved marketing. It has introduced new products using the Slimming World and Millie's Cookies brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal Iceland store which allows them to stock more luxury products. Iceland hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores. In 2018, Iceland received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper, as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed Iceland's decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that Iceland's decision will be repeated by other supermarkets in the UK. (Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

DATA FOR QUESTION 7

Figure 4 shows information about the change in Iceland's sales revenue between 2013 and 2017.
Percentage change in sales revenue: 2013: 1.1; 2014: 2.7; 2015: -4.4; 2016: -2.7; 2017: 2.0.

Using the information in Figure 4, identify the year with the smallest percentage change in Iceland's sales revenue.

MARK SCHEME ANSWER

2013

CASE STUDY EXTRACT

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the Tesla Model 3 (Figure 3). Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because Tesla's California factory suffered from low levels of productivity. These problems resulted in Tesla making a \$976 million loss in 2018. Following the introduction of tariffs on US imports by the Chinese government in 2018, Tesla decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, Tesla needs to raise external finance to fund it. In 2019, Tesla decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce. (Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)

DATA FOR QUESTION 6

In order to raise the finance for its new Chinese factory, Tesla is considering two options: Option 1: share capital. Option 2: loan capital.

State one impact to Tesla of continuing to make a loss.

MARK SCHEME ANSWER

Award 1 mark for stating one impact to Tesla if it continues to make a loss.

It will not be able to build the new factory in Shanghai (1).

Its net cash flow will fall below \$2.4 billion (1).

It may not be able to reduce the price of a car to \$35 000 (1).

Accept any other appropriate response. Do not accept impacts that are not in the context of Tesla. For example, making staff redundant.

CASE STUDY EXTRACT

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'. The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website. Figure 5: ASOS's Instagram bio - 7,091 posts, 7.1m followers, 740 following. ASOS Tag your looks #AsSeenOnMe to get featured. See more from us here >>>: @ASOS_Looped: @ASOS_FaceandBody: ASOSfashion. asos.com. However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers. (Source: adapted from <https://jilt.com/upsell/asos-shipping-logistics/> and <https://sproutsocial.com/insights/social-media-marketing-examples/>)

DATA FOR QUESTION 7

Figure 6 shows the ASOS share price over time, with the y-axis showing share price in pence (1000-8000) and the x-axis showing time from January 2015 to January 2019. The share price rose from around 2000 pence in early 2015 to a peak of around 7500 pence in early 2018, before falling.

Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

MARK SCHEME ANSWER

2018

DATA FOR QUESTION 2

Table 1 contains information about a machine that a business is considering purchasing. Total profit from the machine: £500 000; Length of time the business will own the machine: 5 years; Cost of the machine: £200 000.

Using the information in Table 1, calculate the average rate of return for the machine.

MARK SCHEME ANSWER

Substitution into correct formula: $((£500\,000 \div 5) \div £200\,000) \times 100$ (1). Answer: 50% (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie. In 2019, Cineworld had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at Cineworld cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive. These factors led to Cineworld making a £537 million loss in 2022, leaving the company close to failure. The Cineworld share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments. Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, Cineworld has so far refused to do this. It still charges £18.69 for its most expensive tickets.

DATA FOR QUESTION 7

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019. Odeon: 21.9% (2019), 24.3% (2016); Showcase: 6.0% (2019), 5.6% (2016); Vue: 20.0% (2019), 20.4% (2016); Cineworld: 23.0% (2019), 25.4% (2016).

Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

MARK SCHEME ANSWER

Showcase.